

EVG1014 - Sofia Martinez & Liam Hart - 2025 Form 1040

CLIENT COPY - FINAL (signed off) - Tax Year 2025 - Prepared by Evergreen Tax (synthetic firm)

Taxpayer / Spouse	Sofia E. Martinez (XXX-XX-3057) / Liam P. Hart (XXX-XX-8124)
Name control	MART - primary taxpayer's last name exactly as on Social Security card (SSA record not yet updated)
Address	611 S Division St Apt 4B, Ann Arbor, MI 48104
Filing status	Married filing jointly (married 12/20/2025 - married for all of 2025)
Dependents	None
Digital assets question	No
Forms included	1040, Schedules 1, 2, B, C, SE, Form 8829, Form 8995; MI-1040
State / local	Michigan MI-1040 (resident). Ann Arbor - no city income tax.
Filing method	E-file. 1st transmission 04/08/2026 rejected IND-031-04 (name control HART); corrected to Martinez, retrans

Key figures	Amount
Total income (1040 line 9)	116,766
Adjusted gross income (line 11)	115,144
Deduction (line 12e) - Standard	31,500
QBI deduction (line 13a)	4,267
Schedule 1-A deductions (line 13b)	0
Taxable income (line 15)	79,377
Total tax (line 24)	12,292
Total payments (line 33)	9,446
BALANCE DUE (line 37 + 38)	2,846

Form 1040

Line	Description	Amount
1a	Total amount from Form(s) W-2, box 1	88,000
1b	Household employee wages not reported on Form(s) W-2	0
1c	Tip income not reported on line 1a (Form 4137)	0
1e	Taxable dependent care benefits (Form 2441, line 26)	0
1h	Other earned income	0
1z	Add lines 1a through 1h	88,000
2a	Tax-exempt interest	0
2b	Taxable interest	350
3a	Qualified dividends	0
3b	Ordinary dividends	0
4a	IRA distributions	0
4b	IRA distributions - taxable amount	0
5a	Pensions and annuities	0
5b	Pensions and annuities - taxable amount	0
6a	Social security benefits	0
6b	Social security benefits - taxable amount	0
7	Capital gain or (loss) (Schedule D)	0
8	Additional income from Schedule 1, line 10	28,416
9	Total income	116,766
10	Adjustments to income from Schedule 1, line 26	1,622
11	Adjusted gross income	115,144
12e	Standard deduction or itemized deductions (Standard)	31,500
13a	Qualified business income deduction (Form 8995/8995-A)	4,267
13b	Additional deductions from Schedule 1-A, line 38	0
14	Add lines 12e, 13a, and 13b	35,767
15	Taxable income	79,377
16	Tax	9,048
17	Amount from Schedule 2, line 3	0
18	Add lines 16 and 17	9,048
19	Child tax credit / credit for other dependents (Schedule 8812)	0
20	Amount from Schedule 3, line 8	0
21	Add lines 19 and 20	0
22	Subtract line 21 from line 18	9,048
23	Other taxes, including self-employment tax, from Schedule 2, line 21	3,244
24	Total tax	12,292
25a	Federal income tax withheld - Form(s) W-2	8,900
25b	Federal income tax withheld - Form(s) 1099	546
25c	Federal income tax withheld - other forms (incl. Form 8959 line 24)	0
25d	Total withholding	9,446
26	2025 estimated tax payments and amount applied from 2024 return	0
27a	Earned income credit (EIC)	0

Line	Description	Amount
28	Additional child tax credit (Schedule 8812)	0
29	American opportunity credit - refundable (Form 8863, line 8)	0
31	Amount from Schedule 3, line 15	0
32	Total other payments and refundable credits	0
33	Total payments	9,446
34	Amount overpaid	0
35a	Refund	0
37	Amount you owe	2,846
38	Estimated tax penalty (Form 2210)	0

Schedule B

Line	Description	Amount
1.1	Ally Bank	142
1.2	Capital One, N.A.	208
2	Total interest	350
4	Taxable interest (to Form 1040, line 2b)	350
6	Ordinary dividends (to Form 1040, line 3b)	0
7a	Foreign financial account at any time in 2025? / FBAR required?	No
8	Grantor of / transferor to a foreign trust?	No

Schedule 1

Line	Description	Amount
3	Business income or (loss) - Schedule C	22,956
7	Unemployment compensation	5,460
10	Additional income (to Form 1040, line 8)	28,416
15	Deductible part of self-employment tax (Schedule SE)	1,622
26	Total adjustments to income (to Form 1040, line 10)	1,622

Form 8995

Line	Description	Amount
Sofia Martinez	QBI (Schedule C) Component (below threshold: 20% x QBI)	4,267
limit	20% x (taxable income before QBI 83,644 - net capital gain & qualified dividends 0)	16,729
deduction	Qualified business income deduction	4,267

Schedule SE

Line	Description	Amount
T	Net earnings 21,200; SS 2,629; Medicare 615; half deductible 1,622	3,244

Schedule 2

Line	Description	Amount
4	Self-employment tax (Schedule SE)	3,244

Line	Description	Amount
21	Total other taxes (to Form 1040, line 23)	3,244

Schedule C - Profit or Loss From Business (Sofia)

Schedule C - Sofia Martinez Design (sole proprietor) - code 541430, cash method	Amount
Line F accounting method: Cash. Line G materially participated: Yes	
Line H: STARTED OR ACQUIRED this business during 2025 - X (started 04/01/2025)	
Line I: Did you make any payments in 2025 that would require you to file Form(s) 1099? - No	
1 Gross receipts: 1099-NEC Kerrytown 18,000 + Stripe 1099-K 12,400 (includes Arbor Brewing card payments 9,500 also on its 1099-NEC - counted once) + Venmo (no form) 350	30,750
8 Advertising (website, Dribbble, business cards)	490
10 Commissions and fees (Stripe processing fees per balance history)	363
18 Office expense / 22 Supplies (fonts, stock images)	385
22 Supplies - laptop \$1,899 + tablet \$379 (de minimis safe harbor election, Reg. 1.263(a)-1(f))	2,278
24b Deductible meals (50% of \$164)	82
25 Utilities - cell phone 50% business	315
27a Other - software subscriptions (Adobe CC, Figma)	675
28 Total expenses before home office	4,588
29 Tentative profit	26,162
30 Business use of home (Form 8829)	3,206
31 Net profit (to Schedule 1 line 3 and Schedule SE)	22,956
Not deducted: Spotify \$99 (personal), wedding invitations \$640 (personal - own wedding)	

Form 8829 - Expenses for Business Use of Your Home

Form 8829 - 611 S Division Apt 4B (rented)	Amount
1 Area used regularly and exclusively for business (2nd bedroom)	150 sq ft
2 Total area of home	900 sq ft
7 Business percentage	16.67%
Months used for business: April - December 2025 (only expenses for those months included)	9
18 Rent (9 x \$1,950) - indirect	17,550
20 Utilities DTE + AT&T; Fiber - indirect	1,539
17 Insurance (renters) - indirect	144
Total indirect expenses	19,233
Allowable (x 16.67%) - within gross income limitation	3,206
Comparison: simplified method \$5 x average monthly sq ft (150 x 9 / 12 = 112.5) - NOT elected	563

Schedule SE / QBI support

Schedule SE - Sofia	Amount
Net profit	22,956
x 92.35%	21,200
SE tax (15.3%)	3,244
Deductible half (Sch 1 line 15)	1,622
QBI (net profit - 1/2 SE tax)	21,334

Filing status simulation - MFJ vs MFS

MFJ vs MFS simulation (projection tool)	MFJ	MFS - Sofia	MFS - Liam	MFS combined
AGI	115,144	26,936	88,208	115,144
Taxable income	79,377	8,949	72,458	81,407
Income tax (line 16)	9,048	893	10,859	11,752
SE tax	3,244	3,244	0	3,244
Total tax (line 24)	12,292	4,137	10,859	14,996
Refund / (balance due)	(2,846)	(3,591)	(1,959)	(5,550)
MFJ saves \$2,704 federal. Michigan is a flat 4.25% with the same exemptions either way (no MI difference).				

Form 2210 - underpayment penalty check

Form 2210 check (no estimates; first-year business)	Amount
2025 total tax (MFJ)	12,292
90% of 2025 tax	11,063
2024 tax - Liam (Single, filed by us)	5,963
2024 tax - Sofia (Single, TurboTax)	2,947
Prior-year safe harbor: MFJ in 2025 but separate in 2024 -> SUM of both 2024 taxes (combined 2024 AGI under \$150,000 -> 100%)	8,910
Required annual payment (smaller)	8,910
Withholding (W-2 + 1099-G), treated as paid evenly	9,446
Penalty	0

State / Local Returns

Michigan MI-1040 (resident, joint) - summary

Line	Description	Amount
10	Federal AGI (includes unemployment compensation - taxable in Michigan)	115,144
12-14	Additions / subtractions (none)	0
15	Income subject to tax	115,144
9 / 16	Exemption allowance: 2 x \$5,800	11,600
17	Taxable income	103,544
18	Tax at 4.25%	4,401
30	Michigan tax withheld (Liam W-2 \$3,800 + UIA 1099-G \$232)	4,032
35	Tax due	369

Balance due under \$500 -> no Michigan estimated payments were required (no MI-2210 penalty). Ann Arbor does not levy a city income tax (unlike Detroit, Grand Rapids, Lansing).